

## DAK GURU STUDY MATERIAL

Smart Self-Preparation Portal | LDCE IP & PS Group 'B'



# DAK GURU

*A Self Learning Portal*

## PO SMALL SAVINGS SCHEMES

*A Comprehensive, Primary-Source Verified Guide*

**Updated as per latest SB Orders & Notifications**

Interest Rates effective for Q1 FY 2026-27 (1 April – 30 June 2026)

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## DISCLAIMER

*This booklet has been prepared by **Dak Guru** strictly from an examination point of view for aspirants of the LDCE Inspector of Posts (IP) and PS Group 'B' examinations. While every effort has been made to ensure accuracy and to incorporate the most recent amendments, SB Orders, notifications and circulars relating to the relevant Acts, Rules and Regulations, this document is intended as a **study aid only**. Statutory provisions and interest rates are subject to periodic revision by the Government of India. Readers and students are strongly advised to refer to the official Government Gazette, the Department of Posts (India Post), the Ministry of Finance / National Savings Institute, and the latest SB Orders for the most reliable and authoritative position before acting on any provision herein.*

**Primary sources relied upon:** Government Savings Promotion General Rules, 2018; the individual Scheme Rules notified vide G.S.R. (E) dated 12.12.2019 (as amended); Senior Citizen's Savings Scheme Rules, 2019 (as amended by G.S.R. 829(E) dated 07.11.2023); National Savings Time Deposit (Amendment) Rules vide G.S.R. 830(E) dated 07.11.2023; Mahila Samman Savings Certificate, 2023 (G.S.R. 237(E) dated 27.03.2023) read with SB Order No. 03/2025; the DEA / DoP circulars on regularisation of irregular PPF & SSY accounts (w.e.f. 01.10.2024); and the Ministry of Finance interest-rate Office Memorandum for Q1 FY 2026–27.

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## Current Interest Rates – Q1 FY 2026–27

**In force from 1 April 2026 to 30 June 2026.** The Ministry of Finance (Department of Economic Affairs) notified vide Office Memorandum dated 30.03.2026 that the rates for the first quarter of FY 2026–27 remain **unchanged** from the previous quarter. Rates on small savings schemes are reviewed every quarter; the next review is due on 30 June 2026. Always confirm the rate in force on the date of the transaction.

| Scheme                                  | Rate (% p.a.) | Compounding / Note        |
|-----------------------------------------|---------------|---------------------------|
| Post Office Savings Account (POSA)      | 4.0           | Annually                  |
| 1-Year Time Deposit                     | 6.9           | Quarterly                 |
| 2-Year Time Deposit                     | 7.0           | Quarterly                 |
| 3-Year Time Deposit                     | 7.1           | Quarterly                 |
| 5-Year Time Deposit                     | 7.5           | Quarterly • 80-C eligible |
| 5-Year Recurring Deposit (RD)           | 6.7           | Quarterly                 |
| Monthly Income Scheme (MIS)             | 7.4           | Payable monthly           |
| Senior Citizen Savings Scheme (SCSS)    | 8.2           | Payable quarterly         |
| National Savings Certificate (NSC VIII) | 7.7           | Annually (at maturity)    |
| Kisan Vikas Patra (KVP)                 | 7.5           | Matures in 115 months     |
| Public Provident Fund (PPF)             | 7.1           | Annually • tax-free (EEE) |
| Sukanya Samriddhi Account (SSA)         | 8.2           | Annually • highest rate   |

Source: Ministry of Finance (DEA) interest-rate notification for Q1 FY 2026–27 dated 30.03.2026. Rates have remained unchanged for the eighth consecutive quarter; the last revision was in Q4 FY 2023–24.

## Recent Key Updates – What Changed (Quick Look)

**1. Mahila Samman Savings Certificate (MSSC) – DISCONTINUED.** As per SB Order No. 03/2025 (Department of Posts), the MSSC scheme remained open only up to 31.03.2025. **No new account or fresh deposit is accepted on or after 01.04.2025.** Existing accounts continue to earn 7.5% (compounded quarterly) until their 2-year maturity. See Chapter 11.

**2. Irregular PPF & SSY accounts – regularisation rules (w.e.f. 01.10.2024).** DEA/DoP issued guidelines for irregular accounts: only ONE PPF account per individual and a maximum of TWO SSA accounts per family; NRIs cannot extend PPF beyond 15 years;

SSA opened by grandparents (non-guardians) must be transferred to the natural/legal guardian. See Chapters 8 & 9.

**3. SCSS, 5-Year TD & PPF amendments (w.e.f. 10.11.2023, SB Order 22/2023).** SCSS maximum limit Rs. 30 lakh; premature-closure slabs revised; 5-Year TD premature closure after 4 years carries POSA rate; defence-retiree minimum age read as 50 years. Reflected in Chapters 3 & 5.

**4. MIS & SCSS limits enhanced (w.e.f. 01.04.2023).** MIS: Single Rs. 9 lakh / Joint Rs. 15 lakh. SCSS: Rs. 30 lakh. Reflected in Chapters 4 & 5.

### General Provisions Common to ALL Schemes

*Every Scheme above is made under the Government Savings Promotion Act, 1873 and is read with the Government Savings Promotion General Rules, 2018. Each Scheme notification carries the following two standard clauses, examinable across all chapters:*

- **Application of General Rules:** for any matter not specifically provided for in a Scheme, the provisions of the General Rules, 2018 apply. These General Rules govern nomination, KYC, transfer of accounts between offices, issue of duplicate passbook / certificate, and similar procedural matters.
- **Power to relax:** where the Central Government is satisfied that the operation of any provision causes **undue hardship** to an account holder, it may, by order and for reasons recorded in writing, relax that requirement in a manner not inconsistent with the Act.
- **Forms are scheme-appended:** Form-1 (opening), Form-2 (withdrawal / closure or loan, as applicable), Form-3 (pledging / premature closure, as applicable), and Form-4 (extension), with exact usage specified in each Scheme.

## Chapter 1: Post Office Savings Account Scheme, 2019

**Authority:** Notified vide G.S.R. 921(E) dated 12.12.2019; amended vide G.S.R. 257(E) dated 09.04.2021. Read with the Government Savings Promotion General Rules, 2018.

**Current interest rate:** 4.0% p.a.

### 1. Who May Open an Account (Type of Account)

An account may be opened on an application in Form-1 by:

- A single adult.
- A maximum of three adults in joint names.
- A guardian on behalf of a minor.
- A guardian on behalf of a person of unsound mind.
- A minor who has attained the age of ten years, in his own name.

#### ► Key Conditions

- **One single account only:** an individual can open only one account in single name.
- **Minor / guardian overlap:** an account opened by a minor (above 10 years) in his own name and an account opened by a guardian on behalf of that minor cannot co-exist — only one of the two is permitted.

### 2. Deposits and Withdrawals

| Particular                         | Limit                |
|------------------------------------|----------------------|
| Minimum deposit at account opening | <b>Rs. 500</b>       |
| Subsequent deposit                 | Not less than Rs. 10 |
| Maximum deposit                    | <b>No limit</b>      |
| Minimum withdrawal                 | Not less than Rs. 50 |
| Minimum balance to be maintained   | <b>Rs. 500</b>       |

- **Account maintenance fee:** if the minimum balance is not maintained, a fee of Rs. 50 (inclusive of GST) is deducted on the last working day of each financial year.
- **Whole rupees only:** all deposits and withdrawals are made in whole rupees.

### 3. Interest on Deposits

- **Rate: 4% per annum** (current), calculated on the lowest balance at credit between the close of the 10th day and the end of the month.

- **Calculation & crediting:** interest is calculated at the end of each financial year and credited in whole rupees (rounded to the nearest rupee).
- **Eligibility:** no interest is allowed if the balance is less than Rs. 500 (i.e. the minimum balance).
- **On death of holder:** interest is paid only up to the end of the month preceding the month in which the account is closed.

**Tax tip (exam-relevant):** Interest on POSA is exempt up to Rs. 10,000 under Section 80TTA (Rs. 50,000 for senior citizens under Section 80TTB) of the Income-tax Act, 1961.

#### 4. Silent (Dormant) Account

- An account with no deposit or withdrawal for **3 completed financial years** is treated as a Silent Account. Credit of interest is NOT treated as a transaction for this purpose.
- A transaction in a silent account is allowed only after revival.
- Revival is on application by the account holder after completion of the due process by the account office.

#### 5. Basic Savings Account (for Government Welfare beneficiaries)

| Account                      | Who may open                                                                                                                                | Opening deposit | Min. balance | Who operates                                          |
|------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|-----------------|--------------|-------------------------------------------------------|
| <b>Basic Savings Account</b> | (i) Registered adult member of any Government Welfare Scheme; (ii) Guardian of a minor whose name is registered for any Government benefit. | <b>Nil</b>      | <b>Nil</b>   | Adult / guardian registered under the welfare scheme. |

- **Deposits allowed:** any Government benefit or any other deposit under the scheme.
- **Number of accounts:** one.

#### 6. Digital & Cheque Facilities – Eligibility

##### ▶ A. ATM / Debit Card

- **Joint-A holders cannot** avail ATM card facility.
- A minor (through self), or a minor / person of unsound mind through guardian, **cannot** be issued an ATM card.
- Each holder of a **Joint-B** account may avail an ATM card in his/her own name.

- Presence of **all** holders is not mandatory when submitting the ATM Card Request Form — only the holder seeking the card must be present.
- The holder cannot authorise any other person to receive the ATM card on his/her behalf.
- An ATM card may be issued to an illiterate / old depositor if such a request is received.

#### ► B. Internet Banking / Mobile Banking

- The customer must have a POSA in a **CBS Post Office** or **DARPAN-CBS Branch Post Office**.
- Eligible: **Single** or **Joint-‘B’** accounts only.
- **Not allowed:** Joint-‘A’, minor, person of unsound mind, and illiterate account holders.

#### ► C. Cheque Book

- Eligible: **Joint-A and Joint-B** type accounts.
- A minor through self **cannot** be issued a cheque book.
- Cheque book cannot be issued to illiterate persons or those who do not sign in running hand.

## 7. Service Charges & Transaction Limits

*Card-issuance and service charges effective from 01.10.2021; ATM transaction charges at other banks' ATMs last revised w.e.f. 01.11.2025.*

#### ► A. ATM Withdrawal Limits

- **Daily ATM cash withdrawal limit:** Rs. 25,000.
- **Cash withdrawal per transaction:** Rs. 10,000.

#### ► B. Free Transactions per Month

- **Metro cities:** 3 free transactions (financial + non-financial).
- **Non-metro cities:** 5 free transactions (financial + non-financial).

#### ► C. Charges Beyond Free Limits

| Transaction type                                                 | Charge       |
|------------------------------------------------------------------|--------------|
| Financial transaction at other Bank ATMs (beyond free limit)     | Rs. 23 + GST |
| Non-financial transaction at other Bank ATMs (beyond free limit) | Rs. 11 + GST |

| Transaction type                                            | Charge                  |
|-------------------------------------------------------------|-------------------------|
| Financial transaction at own (DoP) ATMs (beyond 5 free)     | Rs. 10 + GST            |
| Non-financial transaction at own (DoP) ATMs (beyond 5 free) | Rs. 5 + GST             |
| PoS cash withdrawal on DoP debit card (On-Us)               | 1% of value (max Rs. 5) |

**Revised w.e.f. 01.11.2025 (DoP circular dated 30.10.2025):** Charges at OTHER banks' ATMs beyond the free limit were raised — financial Rs. 20 → Rs. 23 (+GST) and non-financial Rs. 8 → Rs. 11 (+GST). Charges at Post Office (DoP) ATMs and the free-transaction limits are unchanged.

#### ► D. Other Card Charges

| Service                                                  | Charge             |
|----------------------------------------------------------|--------------------|
| Debit card replacement                                   | Rs. 300 + GST      |
| Duplicate PIN / regeneration (through branch)            | Rs. 50 + GST       |
| Technical decline due to customer (e.g. lack of balance) | Rs. 20 + GST       |
| ATM / debit card annual maintenance                      | Rs. 125 + GST      |
| SMS alert charges per annum                              | Rs. 12 (incl. GST) |

## Chapter 2: National Savings Recurring Deposit Scheme, 2019

**Authority:** Notified vide G.S.R. 918(E) dated 12.12.2019; amended vide G.S.R. 285(E) dated 05.05.2020. **Current rate: 6.7% p.a. (compounded quarterly).**

### 1. Opening of Account

On an application in Form-1, an account may be opened by:

- A single adult.
- Up to three adults jointly.
- A guardian on behalf of a minor or a person of unsound mind.
- A minor who has attained the age of 10 years, in his own name.
- **Multiple accounts:** an individual may have more than one account, singly or jointly.

### 2. Maturity Period

The maturity period is **5 years (60 monthly deposits)**.

### 3. Deposits

- **Number of deposits:** 60 monthly deposits in total.
- **Minimum deposit:** Rs. 100, or any sum in multiples of Rs. 10.
- ▶ **Subsequent Deposit Due Dates**
  - Account opened between the **1st and 15th** of a month → subsequent deposits up to the **15th** of each month.
  - Account opened between the **16th and the last working day** → subsequent deposits up to the **last working day** of each month.

### 4. Defaults in Deposits

- If defaults are **not more than four:** the maturity period may be extended by as many months as the number of defaults, and the defaulted instalments deposited during the extended period.
- If defaults are **more than four:** the account is treated as **Discontinued**.
- **Revival window:** permitted only within 2 months from the month of the fourth default.
- **Default fee:** Rs. 1 per month for every Rs. 100 of the defaulted instalment.

**WORKED EXAMPLE – RD Default Fee**

**Account:** Rs. 1,000 monthly RD. The depositor misses 3 monthly instalments and pays them all together in the 4th month.

**Fee rate:** Rs. 1 per Rs. 100, per month of delay.

**Per instalment:**  $\text{Rs. } 1,000 \div 100 = 10 \text{ units} \times \text{Rs. } 1 = \text{Rs. } 10 \text{ per month of default.}$

**1st missed instalment** (delayed 3 months):  $10 \times 3 = \text{Rs. } 30.$

**2nd missed instalment** (delayed 2 months):  $10 \times 2 = \text{Rs. } 20.$

**3rd missed instalment** (delayed 1 month):  $10 \times 1 = \text{Rs. } 10.$

**Total default fee payable = Rs. 60** (plus the three instalments of Rs. 1,000 each).

## 5. Advance Deposits & Rebate

Deposits may be made in advance for up to **5 years**. Rebate (for Rs. 100 denomination):

| Number of advance deposits | Rebate (per Rs. 100 denomination) |
|----------------------------|-----------------------------------|
| 6 to 11                    | Rs. 10                            |
| 12 to 17                   | Rs. 40                            |
| 18 to 23                   | Rs. 50                            |
| 24 to 29                   | Rs. 80                            |
| 30 to 35                   | Rs. 90                            |
| 36 to 41                   | Rs. 120                           |
| 42 to 47                   | Rs. 130                           |
| 48 to 53                   | Rs. 160                           |
| 54 to 59                   | Rs. 170                           |
| 60                         | Rs. 200                           |

- **No rebate** if the number of advance deposits is less than 6.

## 6. Premature Closure

- Allowed after completion of **3 years** from the date of opening.
- **Interest payable:** at the POSA rate applicable from time to time.
- Not permissible until the period for which advance deposits were made has expired.

## 7. Continuation / Retention Beyond Maturity

- **Continuation (with deposits):** the account may be continued for a maximum of **5 years** after maturity, and closed at any time during the extended period.

- **Retention (without fresh deposits):** where 60 deposits have been made, the holder may instead **retain** the matured amount (Form-3) for a further period of up to **5 years** without making any fresh deposits.
- In either case, interest is paid for a maximum of 5 years from the date of maturity.

## 8. Repayment on Death of the Account Holder

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- On the death of the holder (single) or all holders (joint), no further deposits are made; repayment is to the nominee or legal heirs.
- Up to **three surviving nominees / legal heirs** may continue the account and receive repayment with interest as if they had opened it.
- On the death of one or two holders in a joint account, the survivor(s) are treated as sole owner(s) and may continue.
- If fewer than 60 deposits have been made, the survivor(s) may also close the account immediately and receive the amount.

## 9. Protected Savings Scheme (PSS)

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*Full maturity value is paid on the death of the account holder in certain cases, restricted to a Rs. 100 denomination account, subject to ALL the following:*

- The account has not become discontinued.
- The period from opening to death is **not less than 2 years**.
- Age at opening was **not less than 18 and not more than 55 years**.
- The first **24 monthly deposits** were made without default (a defaulted instalment paid with revival fee before death is not counted as a default).
- **No loan** was taken during the first 24 months. If a loan was availed after 24 months, the outstanding amount with interest is recovered from the sum payable.
- The claim is applied for **not later than 1 year** from the date of death.

## 10. Loan Facility

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- **Application:** in Form-5.
- **Eligibility:** account in operation for at least 1 year and 12 monthly deposits made.
- **Maximum loan:** up to 50% of the balance at credit.
- **Repayment:** the loan amount (in multiples of Rs. 10) in one lump sum or in equal monthly instalments.

- **Interest on loan:** simple interest at 2% p.a. over and above the RD interest rate.
- If the account is retained beyond maturity without fresh deposits, loan-repayment instalments may still be paid during such retention.

#### WORKED EXAMPLE – RD Loan

**Account:** Rs. 2,000 monthly RD, running for 1 year (12 instalments paid). Balance at credit = Rs. 24,000.

**Maximum loan:** 50% of balance =  $50\% \times 24,000 = \text{Rs. 12,000}$ .

**Loan interest:** RD rate (6.7%) + 2% = **8.7% simple interest** on the loan amount, until repaid.

**Repayment:** the principal (in multiples of Rs. 10) in one lump sum or equal monthly instalments.

## 11. Minor Attaining Majority

A minor on whose behalf an RD account was opened may, on attaining majority:

- **Continue** the account for the full (or extended / retained) maturity period; or
- **Discontinue** and claim the proportionate amount due on expiry of the maturity period (or the amount due under continuation / retention).
- A holder who opts to continue must complete the due-diligence (KYC) process and furnish the prescribed declaration.

## Chapter 3: National Savings Time Deposit Scheme, 2019

**Authority:** Notified vide G.S.R. 922(E) dated 12.12.2019; amended vide G.S.R. 289(E) dated 05.05.2020 and G.S.R. 830(E) dated 07.11.2023. **Current rates: 1-yr 6.9% • 2-yr 7.0% • 3-yr 7.1% • 5-yr 7.5% (compounded quarterly).**

### 1. Categories of Account

Four tenures: **One-year, Two-year, Three-year and Five-year** accounts.

### 2. Who May Open an Account

On an application in Form-1, an account can be opened by:

- A single adult.
- Up to a maximum of three adults in joint names.
- A minor who has attained the age of ten years.
- A guardian on behalf of a minor or a person of unsound mind.
- **Multiple accounts:** an individual may have more than one account, singly or jointly.

### 3. Deposit

- **Minimum deposit:** Rs. 1,000.
- **Maximum deposit:** no limit; any sum in multiples of Rs. 100.

### 4. Extension of Account

Period within which the option for extension may be exercised, from the date of repayment:

| Category of account | Window to exercise extension |
|---------------------|------------------------------|
| One-year            | Six months                   |
| Two-year            | Twelve months                |
| Three-year          | Eighteen months              |
| Five-year           | Eighteen months              |

- If exercised within the window, interest applicable to that category on the date of repayment is payable.
- **Number of extensions:** the account may be extended only twice after the initial repayment date.

- The extension option may also be chosen at the time of opening, and may be **revoked** any time before the date of repayment.

**If extension is NOT exercised:** Post Maturity Interest (PMI) is paid from the date of maturity to the date of payment at the POSA rate applicable from time to time.

## 5. Rate of Interest

- Interest is compounded **quarterly** and payable annually during the deposit period.
- If the interest-payment date falls on a non-working day, payment is deemed due on the immediately preceding working day.
- No additional interest is payable on interest that has become due but is not withdrawn.
- Annual interest may be credited to the holder's savings account at his option.
- **Tax:** deposits in the 5-Year TD qualify for deduction under Section 80-C of the Income-tax Act.

## 6. Premature Closure

- **Application:** in Form-3 (formerly SB-7B).
- No deposit may be withdrawn before expiry of **6 months** from the date of deposit.

### ► Interest on Premature Closure (accounts other than 5-Year TD opened on/after 10.11.2023)

| Category   | Closure period                   | Interest payable              |
|------------|----------------------------------|-------------------------------|
| All        | Before 6 months                  | Premature closure not allowed |
| All        | After 6 months but before 1 year | POSA rate applicable          |
| 2-Year TD  | After 1 year, before 2 years     | 1-Year TD rate – 2%           |
| 3-Year TD  | After 1 year, before 2 years     | 1-Year TD rate – 2%           |
| 3-Year TD  | After 2 years, before 3 years    | 2-Year TD rate – 2%           |
| 5-Year TD* | After 1 year, before 2 years     | 1-Year TD rate – 2%           |
| 5-Year TD* | After 2 years, before 3 years    | 2-Year TD rate – 2%           |
| 5-Year TD* | After 3 years, before 4 years    | 3-Year TD rate – 2%           |
| 5-Year TD* | After 4 years                    | 3-Year TD rate                |

*\*The above 5-Year TD rows apply to accounts opened BEFORE 10.11.2023 (closed under the rules then in force). For 5-Year TD accounts opened ON OR AFTER 10.11.2023, see the special rule below.*

**WORKED EXAMPLE – TD Premature Closure (rate – 2% rule)**

**Account:** Rs. 1,00,000 in a 3-Year TD. The holder closes it after 1 year 4 months (i.e. after 1 year but before 2 years).

**Rule for this slab:** interest is paid at the **1-Year TD rate – 2%**, NOT the 3-Year TD rate.

**Working:** 1-Year TD rate is 6.9%; so payable rate = 6.9% – 2% = **4.9% p.a.**

The depositor therefore earns only 4.9% for the period held — the penalty for early exit.

(Rates used: Q1 FY 2026–27.)

**Key memory hook:** the rate is fixed by the **completed years held**, then 2% is subtracted (except the after-4-years 5-Yr TD slab, which gets the full 3-Year rate).

► **Special Rule – 5-Year TD opened on or after 10.11.2023 (SB Order 22/2023, G.S.R. 830(E))**

| Period                            | Admissibility                 |
|-----------------------------------|-------------------------------|
| Before 6 months                   | Premature closure not allowed |
| After 6 months but before 4 years | Premature closure not allowed |
| After 4 years                     | POSA rate applicable          |

**Applicability (clarified by DEA OM dated 28.11.2023):** The amended 5-Year TD premature-closure rule applies only to accounts opened on or after 10.11.2023. Accounts opened before that date are governed by the rules under which they were opened.

## 7. Pledging of Account (as Security)

A Time Deposit account may be pledged or transferred as security, on an application in Form-3 with the pledgee's acceptance letter. The transfer may be made only to:

- The **President of India** or the **Governor of a State** in official capacity.
- The **Reserve Bank of India**, or a Scheduled Bank / Co-operative Society / Co-operative Bank.
- A **public or private corporation**, or a Government company.
- A **local authority**.
- A **housing finance company** approved by the National Housing Bank and notified by the Central Government.

**Note:** For an account of a minor / person of unsound mind, pledging is permitted only if the guardian certifies in writing that the minor / person is alive and that the transfer is for his benefit. A blind person or one with a physical infirmity may pledge through an

authorised literate individual. This same pledging provision applies to NSC and KVP accounts.



## Chapter 4: National Savings (Monthly Income Account) Scheme, 2019

**Authority:** Notified vide G.S.R. 917(E) dated 12.12.2019; amended vide G.S.R. 286(E) dated 05.05.2020. **Current rate: 7.4% p.a. (payable monthly).**

### 1. Opening of Account

On an application in Form-1, an account may be opened by:

- A single adult.
- Up to a maximum of three adults in joint names.
- A minor who has attained the age of ten years.
- A guardian on behalf of a minor or a person of unsound mind.
- An individual may open one or more accounts (single or joint), subject to the maximum deposit ceiling.
- **Share in joint account:** for the deposit ceiling, a holder's share in a joint account is taken as one-half (two adults) or one-third (three adults) of the balance.

### 2. Deposits and Maximum Limit

- **Minimum deposit:** Rs. 1,000, and in multiples of Rs. 1,000.

| Account type   | Maximum deposit limit |
|----------------|-----------------------|
| Single account | Rs. 9,00,000          |
| Joint account  | Rs. 15,00,000         |

**Limit enhanced w.e.f. 01.04.2023:** Single Rs. 9 lakh and Joint Rs. 15 lakh (earlier Rs. 4.5 lakh / Rs. 9 lakh).

### 3. Interest on Deposit

- Interest is payable on completion of a **month** from the date of deposit.
- If monthly interest is not claimed, it earns no additional interest.
- **Excess deposit:** any deposit above the ceiling is refunded immediately; the excess carries interest at the POSA rate from the date of deposit to the date of refund.
- If the interest date falls on a Sunday / holiday, payment is deemed due on the immediately preceding business day.

- If a deposit is made on the 29th / 30th / 31st and that date does not occur in a following month, monthly interest is paid on the last date of the following month (or the preceding working day if that is a holiday).

#### WORKED EXAMPLE – MIS Monthly Income

**Single account:** Rs. 9,00,000 (the maximum) at 7.4% p.a.

**Annual interest:**  $9,00,000 \times 7.4\% = \text{Rs. } 66,600$ .

**Monthly payout:**  $66,600 \div 12 = \text{Rs. } 5,550$  every month.

**Joint account (Rs. 15,00,000):**  $15,00,000 \times 7.4\% \div 12 = \text{Rs. } 9,250$  per month.

*Rate: Q1 FY 2026–27. The principal is returned in full on maturity (5 years).*

## 4. Premature Closure

Permitted after expiry of **1 year** from the date of opening:

| Closure period                 | Deduction     |
|--------------------------------|---------------|
| On or before expiry of 3 years | 2% of deposit |
| After expiry of 3 years        | 1% of deposit |

#### WORKED EXAMPLE – MIS Premature Closure Deduction

**Account:** Rs. 9,00,000 MIS, closed after 2 years (i.e. on or before expiry of 3 years).

**Deduction:** 2% of deposit =  $2\% \times 9,00,000 = \text{Rs. } 18,000$  recovered.

**Amount refunded:**  $9,00,000 - 18,000 = \text{Rs. } 8,82,000$  (the depositor keeps the monthly interest already drawn).

Had it been closed after 3 years, the deduction would be only 1% = Rs. 9,000.

## 5. Closure on Maturity

- The account may be closed after completion of **5 years** from opening.
- On the holder's death before maturity, the account is closed and the deposit refunded per the General Rules, with interest up to the month preceding the month of refund.

## Chapter 5: Senior Citizen Savings Scheme (SCSS), 2019

**Authority:** Notified vide G.S.R. 916(E) dated 12.12.2019; amended vide G.S.R. 287(E) dated 05.05.2020 and G.S.R. 829(E) dated 07.11.2023 (SB Order 22/2023). **Current rate:** **8.2% p.a. (payable quarterly).**

### 1. Eligibility – Category & Minimum Age

| Category of account holder                 | Minimum age         |
|--------------------------------------------|---------------------|
| Normal (general public)                    | 60 years            |
| Retired on superannuation (civil services) | 55 yrs but < 60 yrs |
| Retired personnel of Defence Services      | 50 years            |

- **Window for retirees:** a retired person must open the account within 3 months of receipt of retirement benefits, with proof of the date of disbursal and a certificate from the employer indicating retirement details.
- **Maximum across accounts:** a holder may operate more than one account, but the total deposit across all accounts must not exceed Rs. 30 lakh.
- An account may be opened individually or jointly with **spouse** only.
- In a joint account, the **age of the first holder** determines eligibility; there is no age limit for the second applicant.
- The spouse of a Government employee (who attained 50 years and died in harness) may open an account **irrespective of age**, subject to the other conditions.

**Corrigendum (SB Order 22/2023):** In the eligibility table, the defence-retiree minimum age of “fifty-five years” is to be read as “fifty years.” NRIs and HUFs are NOT eligible to open an SCSS account.

### 2. Deposit

- **Minimum deposit:** Rs. 1,000.
- **Maximum deposit:** Rs. 30,00,000 (in multiples of Rs. 1,000).
- Deposits are restricted to the retirement benefits received, or Rs. 30 lakh, whichever is lower.

**Limit enhanced w.e.f. 01.04.2023:** Maximum raised from Rs. 15 lakh to Rs. 30 lakh.

### 3. Interest on Deposit

- Interest is payable **quarterly** — from the date of deposit to 31 March / 30 June / 30 September / 31 December, on the first working day of the following quarter (April / July / October / January).
- If quarterly interest is not claimed, it earns no additional interest.
- Excess amount carries POSA-rate interest from the date of deposit of the excess to the date of refund.
- On extension after maturity, the deposit earns interest at the rate applicable on the date of extended maturity.
- Deposits not extended or closed on maturity / extended maturity earn POSA-rate interest thereafter.

**Tax (Section 80-C):** Investment qualifies for deduction up to Rs. 1.5 lakh under Section 80-C. Interest is taxable; TDS under Section 194A applies if interest exceeds the threshold.

#### WORKED EXAMPLE — SCSS Quarterly Interest

**Account:** Rs. 30,00,000 (the maximum) at 8.2% p.a.

**Annual interest:**  $30,00,000 \times 8.2\% = \text{Rs. } 2,46,000$ .

**Quarterly payout:**  $2,46,000 \div 4 = \text{Rs. } 61,500$  each quarter.

*Rate: Q1 FY 2026–27. SCSS carries the highest rate among the small-savings schemes. Interest is paid on the first working day of April / July / October / January.*

### 4. Premature Closure

The holder may close the account at **any time**:

| Closure period                       | Deduction                          |
|--------------------------------------|------------------------------------|
| Before 1 year from opening           | Interest already paid is recovered |
| After 1 year but before 2 years      | 1.5% of deposit                    |
| After 2 years (but before maturity)  | 1% of deposit                      |
| Before 1 year from date of extension | 1% of deposit                      |

**Note:** The deduction after 1 year but before 2 years is 1.5% of the deposit (some printed sources show a typographical “12%” — this is incorrect). The 1% deduction for an

extended account closed before 1 year was introduced vide SB Order 22/2023 (w.e.f. 10.11.2023). No deduction is made on closure due to the death of the depositor.

#### **WORKED EXAMPLE – SCSS Premature Closure Deduction**

**Account:** Rs. 10,00,000 SCSS, closed after 1 year 6 months (after 1 year but before 2 years).

**Deduction:** 1.5% of deposit =  $1.5\% \times 10,00,000 = \text{Rs. 15,000 recovered}$ .

**If closed after 2 years** instead: deduction is 1% = Rs. 10,000.

**If closed before 1 year:** no flat percentage — instead, **all interest already paid is recovered** from the principal.

## 5. Closure on Maturity

- The deposit is paid on or after expiry of **5 years**, or after each block of 3 years where the account was extended.
- **On death before maturity / extended maturity:** the account is closed and the deposit refunded on application in Form-3, with interest at the SCSS rate up to the date of death, to the nominee or legal heirs.
- Thereafter, the deposit earns POSA-rate interest from the date of death to the date of final closure.
- Where the sole nominee is the **spouse** and is eligible under the scheme on the date of death, the spouse may continue the account on the same terms.
- Where both spouses hold separate SCSS accounts and one dies, the deceased's account is **not continued** under the spouse-continuation proviso and is closed.

## 6. Extension after Maturity

- The holder may extend for a further block of **3 years** within 1 year from maturity (or from the end of each 3-year block).
- Extension is available in blocks of **3 years**.
- The holder may close the account any time after 1 year from the date of extension **without any deduction**.

**Applicability:** The SCSS amendments in SB Order 22/2023 apply to all existing as well as new accounts opened on or after 10.11.2023 (per DEA OM dated 28.11.2023).

## Chapter 6: National Savings Certificate (VIII Issue) Scheme, 2019

**Authority:** Notified vide G.S.R. 919(E) dated 12.12.2019; amended vide G.S.R. 284(E) dated 05.05.2020. **Current rate: 7.7% p.a. (compounded annually, payable at maturity).**

### 1. Type of Accounts

- **Single Holder Type:** by an adult, or by a guardian for a minor / person of unsound mind.
- **Joint A-Type:** up to three adults, payable to all.
- **Joint B-Type:** up to three adults, payable to any one.
- A minor who has attained the age of ten years.

### 2. Deposits

- **Minimum deposit:** Rs. 1,000, and in multiples of Rs. 100.
- **Maximum deposit:** no maximum limit (in one account or across accounts).
- An individual may open any number of accounts.
- **Tax:** deposits qualify for deduction under Section 80-C of the Income-tax Act.

### 3. Payment on Maturity

- The deposit matures on completion of **5 years** from the date of deposit; the maturity amount is paid to the holder.

#### WORKED EXAMPLE — NSC Maturity Value (7.7%, compounded yearly)

**Formula:** Maturity = Principal  $\times (1 + r)^5$ , with  $r = 7.7\%$  (interest compounds annually, paid at maturity).

**On Rs. 1,000:**  $1,000 \times (1.077)^5 = \text{Rs. 1,449.03}$  (interest Rs. 449).

**On Rs. 1,00,000:**  $1,00,000 \times (1.077)^5 = \text{Rs. 1,44,903}$  (interest Rs. 44,903).

**80-C tip:** the yearly accrued interest (years 1–4) is reinvested and itself qualifies for Section 80-C; the final year's interest does not.

### 4. Premature Closure

Not allowed before maturity, except:

- On the **death** of the holder (single), or any / all holders (joint).

- On **forfeiture** by a pledgee being a Gazetted Officer, where the pledge conforms to the scheme.
- When ordered by a **court**.

► **Premature Closure Values (when allowed)**

| Closure period                  | Amount payable                       |
|---------------------------------|--------------------------------------|
| Before expiry of 1 year         | <b>Only principal</b>                |
| After 1 year but before 3 years | Principal + POSA-rate interest       |
| After expiry of 3 years         | <b>Principal + NSC-rate interest</b> |

## 5. Transfer / Pledging of Account

- On death of the holder (single) or all holders (joint), the amount is transferred to the legal heirs or nominees.
- On a court order, to the court or as the court directs.
- On the death of one holder in a joint account, to the surviving holder(s).

**Pledging (Form-3):** Like a Time Deposit, an NSC account may be pledged or transferred as security — only to the President of India / Governor, RBI / a Scheduled Bank / Co-operative Society, a public or private corporation or Government company, a local authority, or an NHB-approved housing finance company (see the Time Deposit chapter for the full list and conditions).

## Chapter 7: Kisan Vikas Patra (KVP) Scheme, 2019

**Authority:** Notified vide G.S.R. 920(E) dated 12.12.2019; amended vide G.S.R. 283(E) dated 05.05.2020. **Current rate: 7.5% p.a. — amount doubles in 115 months.**

### 1. Type of Accounts

- **Single Holder Type Account.**
- **Joint A-Type:** up to three adults, payable to all.
- **Joint B-Type:** up to three adults, payable to any one.
- A minor who has attained the age of ten years.
- A guardian on behalf of a minor or a person of unsound mind.

### 2. Deposits

- **Minimum deposit:** Rs. 1,000, and in multiples of Rs. 100.
- **Maximum deposit:** no maximum limit (in one account or across accounts).
- An individual may open any number of accounts.

### 3. Payment on Maturity

- For an account opened on or after **1 July 2023**, the maturity period is **115 months**.
- The deposit **doubles** on maturity.

**Currency check:** At the current rate of 7.5% p.a., the KVP maturity period remains 115 months (in force for Q1 FY 2026–27). The rate / tenure is reviewed quarterly.

#### **WORKED EXAMPLE — KVP — Money Doubles in 115 months**

**Invest Rs. 1,000** → receive **Rs. 2,000** after 115 months (9 years 7 months).

**Invest Rs. 50,000** → receive **Rs. 1,00,000** on maturity.

**Why 115 months?** At 7.5% compounded yearly,  $1,000 \times (1.075)^{(115/12)} \approx \text{Rs. } 2,000$  — so the tenure is set to exactly double the money.

**Memory hook:** “KVP = double your money”; the only variable that changes when the rate is revised is the number of months.

## 4. Premature Closure

On an application in Form-3, an account may be prematurely closed **before maturity** only:

- On the **death** of the holder (single), or any / all holders (joint).
- On **forfeiture** by a pledgee being a Gazetted Officer.
- When ordered by a **court**.
- On such closure, principal plus simple interest at the POSA rate (for the complete months held) is payable.
- **Lock-in:** after expiry of **2 years 6 months** from opening, the amount (inclusive of interest) is payable on closure.

## 5. Transfer / Pledging of Account

- On death of the holder (single) or all holders (joint), to the legal heirs or nominees.
- On a court order, to the court or as directed.
- On the death of one holder in a joint account, to the surviving holder(s).

**Pledging (Form-3):** A KVP account may be pledged or transferred as security on the same terms as a Time Deposit — only to the President of India / Governor, RBI / a Scheduled Bank / Co-operative Society, a public or private corporation or Government company, a local authority, or an NHB-approved housing finance company (full list and conditions in the Time Deposit chapter).

## Chapter 8: Public Provident Fund (PPF) Scheme, 2019

**Authority:** Notified vide G.S.R. 915(E) dated 12.12.2019. Read with the DEA / DoP regularisation guidelines for irregular accounts (w.e.f. 01.10.2024). **Current rate: 7.1% p.a. (compounded annually) — tax-free (EEE).**

### 1. Number of Accounts

- An individual may open **one account** on an application in Form-1.
- An individual may also open **one account** on behalf of each minor / person of unsound mind of whom he is the guardian (only one such account per minor / per guardian).
- **Joint accounts are NOT permitted** under this scheme.

### 2. Limits of Subscription

- **Minimum:** Rs. 500 in a financial year.
- **Maximum:** Rs. 1,50,000 in a financial year.
- The account is opened with a minimum of Rs. 500; thereafter deposits in multiples of Rs. 50.

### 3. Discontinuation & Revival

- An account that fails to receive the minimum annual deposit (after the initial Rs. 500) is treated as **discontinued**.
- It may be **revived** during its maturity period on payment of Rs. 50 per defaulted year plus the arrears of Rs. 500 minimum per year of default.
- A discontinued (un-revived) account continues to earn the scheme interest rate.
- The holder of a discontinued account cannot open a new PPF account before its closure after maturity, and **loan / partial withdrawal are not allowed** in such an account.
- Loan and partial withdrawal are available to **regular accounts only**.
- The annual deposit is inclusive of deposits for earlier default years but excludes the default fee.

## 4. Interest

- The lowest balance between the close of the **5th day** and the end of the month is eligible for interest.
- Interest is credited at the end of each year (irrespective of a change of account office on transfer).
- **Tax:** deposits qualify under Section 80-C; interest earned is exempt under Section 10 (EEE status).

## 5. Loan

- Available after expiry of **1 year** from the end of the year of the initial subscription, but before expiry of **5 years** from that year-end — i.e. effectively from the **3rd to the 6th financial year**.
- **Application:** in Form-2 (formerly SB-7C).
- **Maximum loan:** up to 25% of the balance at the end of the 2nd year immediately preceding the year of application.
- No fresh loan until the earlier loan is repaid in full with interest; only one loan per financial year.

### ► Repayment of Loan & Interest

- The principal must be repaid before expiry of **36 months** (from the first day of the month following sanction), in lump sum or instalments.
- After the principal is repaid, interest is paid in not more than 2 monthly instalments at **1% p.a.** of the principal.
- If the loan is not repaid (or only part-repaid) within 36 months, interest on the outstanding is charged at **6% p.a.** (instead of 1%) from the month following the loan to the month of final repayment.
- Interest recoverable accrues to the Central Government.

### WORKED EXAMPLE — PPF Loan

**Scenario:** PPF opened in FY 2022–23. The holder applies for a loan in FY 2025–26 (the 4th financial year — within the eligible 3rd-to-6th-year window).

**Which balance counts?** the balance at the end of the **2nd year immediately preceding** the application year — i.e. end of FY 2023–24.

**Say that balance = Rs. 80,000.** Maximum loan =  $25\% \times 80,000 = \text{Rs. 20,000}$ .

**Cost of loan:** just **1% p.a.** if the principal is cleared within 36 months; **6% p.a.** on any amount still outstanding after 36 months.

**Memory hook:** Loan = 25% of the balance 2 years back; cheap (1%) if repaid in 3 years, expensive (6%) if not.

## 6. Partial Withdrawal

- Available after expiry of **5 years** from the end of the year of opening — effectively from the **7th financial year**.
- **Application:** in Form-2 (formerly SB-7C).
- **Maximum:** up to 50% of the balance at the end of the 4th year immediately preceding, or the end of the preceding year, **whichever is lower**.
- Any outstanding loan with interest must be cleared first; withdrawal may be availed only once in a financial year (regular accounts only).

### WORKED EXAMPLE — PPF Partial Withdrawal

**Scenario:** PPF opened in FY 2017–18. The holder makes a partial withdrawal in FY 2025–26 (well past the 7th-year start, so withdrawal is allowed).

**The cap is the LOWER of two figures:**

- 50% of the balance at the end of the **4th year immediately preceding** (end of FY 2021–22), and
- 50% of the balance at the end of the **preceding year** (end of FY 2024–25).

**Say:** balance end-FY 2021–22 = Rs. 4,00,000; balance end-FY 2024–25 = Rs. 7,00,000.

50% of each = Rs. 2,00,000 and Rs. 3,50,000. The **lower** governs → maximum withdrawal = **Rs. 2,00,000**.

**Memory hook:** Withdraw up to 50%, but measured on the SMALLER of “4 years ago” and “last year” — once per year, from the 7th year.

## 7. Closure or Continuation (Maturity)

- After expiry of **15 years** from the end of the year of opening, the holder may close the account (Form-3) and withdraw the entire balance with interest up to the month preceding closure.
- The holder may **retain the account without further deposits** for any period; the balance continues to earn interest and one withdrawal of any amount is allowed each year.

- Once continued without deposits for more than a year, the holder cannot revert to continuing the account with deposits.

## 8. Extension with Deposits after Maturity

- On expiry of **15 years**, the holder may extend and continue deposits for a further block of **5 years** (Form-4), provided the option is given before expiry of 1 year from maturity.
- If no option is given within 1 year, no deposits can be made; any deposit is treated as irregular and refunded without interest (the maturity balance continues to earn interest).
- **Partial withdrawal in extension:** total withdrawal during the 5-year block must not exceed 60% of the balance at the commencement of the block, in a single or yearly instalments.
- A holder who opts for a 5-year extension cannot withdraw that request later.

## 9. Premature Closure (before maturity)

Allowed on an application in Form-3 only on these grounds, and **not before 5 years** from the end of the year of opening:

- **Life-threatening disease** of the holder, spouse, dependent children or parents (with medical reports).
- **Higher education** of the holder or dependent children (with admission / fee documents — in India or abroad).
- **Change in residency status** of the holder (with passport & visa or income-tax return).

**Interest penalty on premature closure:** Interest is allowed at a rate 1% LOWER than the rate credited from time to time since opening (or since the commencement of the current 5-year block, as the case may be).

## 10. Closure on Death & Protection

- On the holder's death, the account is closed; the nominee / legal heir **cannot continue** it.
- The balance earns interest up to the end of the month preceding the month in which it is paid to the nominee / legal heir.

- **Protection from attachment:** the credit balance is NOT liable to attachment under any court order or decree for any debt or liability of the holder.

**Irregular PPF accounts – regularisation (w.e.f. 01.10.2024):** (i) Only ONE PPF account is permitted per individual — where multiple exist, one is designated primary (earns the scheme rate within the ceiling), a second is merged into it, and any further account earns NIL interest from opening. (ii) A PPF account opened in a minor's name earns the POSA rate until the minor attains 18, after which the scheme rate applies and the 15-year maturity is reckoned from the date the minor turns 18. (iii) NRIs cannot extend PPF beyond the 15-year term; such extended accounts earned the POSA rate up to 30.09.2024 and NIL interest thereafter.



## Chapter 9: Sukanya Samriddhi Account (SSA) Scheme, 2019

**Authority:** Notified vide G.S.R. 914(E) dated 12.12.2019; amended vide G.S.R. 288(E) dated 05.05.2020. Read with the DEA / DoP regularisation guidelines (w.e.f. 01.10.2024).

**Current rate: 8.2% p.a. (compounded annually).**

### 1. Opening of Account

- Opened by a guardian in the name of a girl child who has **not attained 10 years** as on the date of opening.
- Each account holder shall have a **single account** under the scheme.
- The application (Form-1) must be accompanied by the **birth certificate** of the girl child and the guardian's documents.
- A maximum of **two girl children** in a family may have accounts.
  - Twins / triplets exception:** more than two accounts may be opened if such children are born in the first or second order of birth (or both), on an affidavit with birth certificates of the multiple girls.
  - Limit on the exception:** it does not apply to a girl child of the second order of birth if the first order of birth resulted in two or more surviving girl children.

### 2. Deposits

- Opening / minimum:** Rs. 250; thereafter in multiples of Rs. 50, subject to a minimum of Rs. 250 in a financial year.
- Maximum:** Rs. 1,50,000 in a financial year. Any excess (accepted due to accounting error) earns no interest and is returned.
- Deposit period:** deposits may be made for **15 years** from the date of opening.
- Account under default:** if the minimum Rs. 250 is not deposited, the account is in default; it may be regularised within 15 years from opening on payment of Rs. 50 per defaulted year plus the minimum deposit for those years.

### 3. Interest on Deposit

- Interest is calculated for the calendar month on the lowest balance between the close of the **5th day** and the end of the month.
- Interest is credited at the end of each financial year, in whole rupees (rounded to the nearest rupee — Re. 1 if interest  $\geq$  Rs. 0.50, else Rs. 0).

- Interest is credited irrespective of a change of account office on transfer.

#### WORKED EXAMPLE – SSA – Interest & Education Withdrawal

**Deposit:** Rs. 1,50,000 (the annual maximum) in a year at 8.2% p.a.

**Interest for a full year on that balance:**  $1,50,000 \times 8.2\% = \text{Rs. } 12,300.$

*SSA carries the same top rate as SCSS (8.2%, Q1 FY 2026–27) and is fully tax-free (EEE).*

**Education withdrawal:** if the balance at the end of the preceding year is Rs. 6,00,000, the holder may withdraw up to 50% = **Rs. 3,00,000** for higher education (after she turns 18 or passes the 10th).

## 4. Operation of Account

- Operated by the **guardian** until the girl attains 18 years.
- Operated by the **account holder herself** after attaining 18 years, on submitting the necessary documents.

## 5. Premature Closure

- **Death of the holder:** the account is closed immediately (Form-2) on a death certificate; the balance with interest to the date of death is paid to the guardian.
- Interest from the date of death to the date of closure is paid at the POSA rate.
- **Extreme compassionate grounds** (life-threatening disease of the holder, or death of the guardian) — allowed by order with full documentation, but **not before 5 years** from opening.

## 6. Withdrawal

- On an application in Form-3, up to **50%** of the balance at the end of the preceding financial year may be withdrawn for the **education** of the holder.
- Allowed after the holder attains 18 years, or has passed the **10th standard**, whichever is earlier.
- Requires proof (admission offer / fee-slip); may be in one lump sum or in instalments (not more than one per year, for a maximum of 5 years), restricted to the actual requirement.

## 7. Closure on Maturity

- The account matures on completion of **21 years** from the date of opening.

- **Marriage closure:** permitted before 21 years for the holder's intended marriage, on a declaration (on non-judicial stamp paper, notary-attested) that she will not be less than 18 years on the marriage date — not earlier than 1 month before or later than 3 months after the marriage.
- On an application in Form-4, the balance with applicable interest is payable to the holder.

## 8. Income-Tax Benefit

- SSA is specified under clause (viii) of Section 80-C; deposits enjoy deduction up to the overall Rs. 1,50,000 limit.
- By the Finance Act, 2015 (Section 10 clause (11A)), amounts withdrawn from SSA are not included in total income (EEE).
- A legal guardian may claim the 80-C benefit for amounts deposited for the girl child.

**Irregular SSA accounts – regularisation (w.e.f. 01.10.2024):** A maximum of TWO SSA accounts are allowed per family (one per girl child); excess accounts are treated as irregular and closed. Where an account was opened by grandparents (who are not the legal guardian), guardianship is transferred to the natural guardian (living parent) or the legal guardian entitled under law.

## Chapter 10: PM CARES for Children Scheme, 2021

**Authority:** Introduced on 06.10.2021. The Ministry of Women and Child Development is the concerned authority for coordination and overall management.

### 1. Key Definitions

- **“Date of Event”:** the date between 11.03.2020 and 28.02.2022 on which a child (below 18 years) lost both parents / the last surviving parent / both adoptive parents / the sole legal guardian to the COVID-19 pandemic.
- **“Joint Account Holder”:** the concerned District Magistrate (DM), who acts as guardian for operation of the account.

### 2. Opening of Account

- Opened in the name of an eligible beneficiary with the **District Magistrate** as joint account holder, where the beneficiary was below 18 on the date of event and has not turned 18 on the date of opening.
- A **single account** may be opened for an otherwise-eligible beneficiary who has turned 18 or more on the date of opening.

### 3. Deposits & Upfront Contribution

The upfront lump-sum contribution is made **only from the PM CARES Fund**, within one month of opening, so the corpus becomes **Rs. 10 lakh** when the holder attains 18 years.

| Age at opening | Years to maturity | Upfront contribution (Rs.) |
|----------------|-------------------|----------------------------|
| 1 Year         | 17                | 2,87,870                   |
| 2 Years        | 16                | 3,09,750                   |
| 3 Years        | 15                | 3,33,290                   |
| 4 Years        | 14                | 3,58,620                   |
| 5 Years        | 13                | 3,85,870                   |
| 6 Years        | 12                | 4,15,200                   |
| 7 Years        | 11                | 4,46,750                   |
| 8 Years        | 10                | 4,80,710                   |
| 9 Years        | 9                 | 5,17,240                   |
| 10 Years       | 8                 | 5,56,550                   |

| Age at opening   | Years to maturity | Upfront contribution (Rs.) |
|------------------|-------------------|----------------------------|
| 11 Years         | 7                 | 5,98,850                   |
| 12 Years         | 6                 | 6,44,360                   |
| 13 Years         | 5                 | 6,93,330                   |
| 14 Years         | 4                 | 7,46,030                   |
| 15 Years         | 3                 | 8,02,720                   |
| 16 Years         | 2                 | 8,63,730                   |
| 17 Years         | 1                 | 9,29,370                   |
| 18 Years & above | 0                 | 10,00,000                  |

- **Computation of age:** the number of completed years on the upcoming date of birth; any months / days are rounded to the next complete year (e.g. a 4-month-old gets the 1-year amount; a 12-yr-9-mo old gets the 13-year amount).

#### WORKED EXAMPLE – PM CARES – How the Rs. 10 Lakh Corpus Works

**Child enrolled at age 5:** PM CARES Fund pays an upfront Rs. 3,85,870 today.

**It grows (PPF-rate, compounded)** so that at age 18 the corpus reaches **Rs. 10,00,000**.

**Age 18 to 23:** the Rs. 10 lakh runs as a **monthly-income account** (at the MIS rate) — the child draws a monthly stipend for these 5 years.

**At age 23:** the full Rs. 10,00,000 corpus is disbursed and the account is closed.

**Memory hook:** upfront seed → grows to Rs. 10 L by 18 → monthly income 18–23 → lump sum at 23.

## 4. Interest on Deposit

- On attaining **18 years**, the account operates as a **monthly-interest scheme** (single account).
- **Rate:** the rate applicable to the National Savings (Monthly Income Account) Scheme (MIS).
- Interest is payable on completion of a month from the date of credit of the upfront contribution (after 18 years); if not claimed, it earns no additional interest.
- **No interest** is paid once the holder attains 23 years.

## 5. Operation & Closure

- **Below 18 years:** joint account with the District Magistrate.
- **18 years or above:** operated by the holder as a single account after KYC.

- **Death of minor:** the account is closed (Form-2) and the upfront contribution paid to the joint account holder for transmission to the PM CARES Fund.
- **Premature withdrawal:** not allowed.
- **Maturity:** on attaining 23 years, the corpus (Rs. 10 lakh) is disbursed and the account closed (Form-2).

## 6. Process Guidelines (Designated PO & Nodal Office)

- **Two accounts:** (1) a Basic Savings Account (zero balance, in the beneficiary's name; guardian DM if minor); (2) the PM CARES Scheme account (joint with DM if minor, single if major).
- **Flow of funds:** beneficiary funds are credited to the Basic Savings Account and debited to open the PM CARES account; monthly interest / maturity is credited back to the linked Basic Savings Account.
- **Nodal office:** Chennai GPO (for NACH credits and centrally opening PM CARES accounts).
- **Scheme codes:** PCFTD — joint account (minor + DM); PCMIS — single account (18 years and above).

## Chapter 11: Mahila Samman Savings Certificate, 2023

**Authority:** Notified vide G.S.R. 237(E) dated 27.03.2023. **Status:** **DISCONTINUED** for fresh deposits w.e.f. 01.04.2025 (SB Order No. 03/2025).

**IMPORTANT – Scheme discontinued.** As per SB Order No. 03/2025 issued by the Department of Posts, MSSC remained effective only up to 31.03.2025. **No new account can be opened and no fresh deposit can be accepted on or after 01.04.2025.** Accounts opened on or before 31.03.2025 continue to earn 7.5% (compounded quarterly) until their 2-year maturity, and existing holders retain partial-withdrawal and premature-closure rights. The provisions below are retained for exam reference and apply to such existing accounts.

### 1. Types of Account (as originally notified)

- An account could be opened for an individual **girl or woman**.
- A **Single Holder Type Account** could be opened on or before **31.03.2025** by a woman for herself, or by a guardian on behalf of a minor girl.

### 2. Deposits

- **Minimum deposit:** Rs. 1,000 (in multiples of Rs. 100).
- **Subsequent deposit:** not allowed — it is a one-time deposit account.
- **Maximum deposit:** Rs. 2,00,000 (two lakh).
- **Multiple accounts:** any number, subject to (i) an aggregate cap of Rs. 2 lakh across all accounts and (ii) a gap of 3 months between opening one account and the next.

**Illustration:** An account opened on 01.12.2023 with Rs. 50,000 — a second account could be opened on or after 01.03.2024 with a balance of up to Rs. 1,50,000 (subject to the overall 31.03.2025 cut-off).

### 3. Interest

- **Rate:** 7.5% per annum.
- Compounded **quarterly** and credited to the account.
- If opened in contravention of the rules, only the POSA rate is payable.

## 4. Withdrawal

- Up to **40%** of the eligible balance may be withdrawn **once**, after expiry of 1 year from opening but before maturity.

## 5. Payment on Maturity

The account matures on completion of **2 years** from the date of opening.

## 6. Premature Closure

**Not allowed before maturity except:**

- Death** of the account holder.
- Extreme compassionate grounds** (life-threatening disease of the holder, or death of the guardian, where operation causes undue hardship) — by order with documentation.
- Voluntary (penalty) closure:** permitted any time after 6 months from opening for any other reason — interest is then reduced by 2% (i.e. payable at 5.5%).

## 7. Tax & Agency

- Agency:** the scheme is not covered under MPKBY / SAS agency.
- Tax:** the investment does not qualify under Section 80-C; interest earned is taxable.

### ► TDS Threshold (Section 194A)

| Payee category                    | TDS threshold |
|-----------------------------------|---------------|
| Senior citizen (60 years or more) | Rs. 50,000    |
| Others                            | Rs. 40,000    |

## Quick Revision Notes (Chapter-Wise)

*Rapid-recall summary for the final lap. Always pair with the detailed chapters and the current rate table above.*

### 1. Post Office Savings Account (POSA)

- **Rate:** 4% p.a. on lowest balance between 10th and month-end.
- **Min balance:** Rs. 500; maintenance fee Rs. 50 (incl. GST) if not maintained.
- **Min withdrawal:** Rs. 50. Silent account: no transaction for 3 FYs.
- **Tax:** interest exempt up to Rs. 10,000 (80TTA) / Rs. 50,000 for seniors (80TTB).

### 2. Recurring Deposit (RD)

- **Rate:** 6.7% p.a. Maturity 5 years (60 deposits).
- **Loan:** after 1 year & 12 deposits; max 50% of balance; +2% over RD rate.
- **Premature closure:** after 3 years → POSA rate. Discontinued after 4 defaults; revive within 2 months of 4th default.
- **PSS:** full maturity on death if active  $\geq 2$  years (24 deposits) and age 18–55 at opening.

### 3. Time Deposit (TD)

- **Rates:** 1-yr 6.9% • 2-yr 7.0% • 3-yr 7.1% • 5-yr 7.5%. 5-yr TD is 80-C eligible.
- **Key rule (5-yr TD opened on/after 10.11.2023):** no premature closure before 4 years; after 4 years → POSA rate.
- **Extension window:** 1-yr within 6 months; 2-yr within 12 months; 3-yr & 5-yr within 18 months.

### 4. Monthly Income Scheme (MIS)

- **Rate:** 7.4% p.a., paid monthly.
- **Limits (w.e.f. 01.04.2023):** Single Rs. 9 lakh; Joint Rs. 15 lakh.
- **Premature closure:** 1–3 years → 2% deduction; after 3 years → 1% deduction.

### 5. Senior Citizen Savings Scheme (SCSS)

- **Rate:** 8.2% p.a., paid quarterly. Max deposit Rs. 30 lakh (w.e.f. 01.04.2023).
- **Eligibility:** 60+ (normal); civil retiree 55–60; defence retiree 50+; invest within 3 months of retirement benefits.

- **Premature closure:** < 1 yr → interest recovered; 1–2 yrs → 1.5%; after 2 yrs → 1%; extended account closed before 1 yr → 1%.
- **Extension:** 3-year blocks; interest at rate on date of extension. Tax: 80-C (investment).

## 6. National Savings Certificate (NSC VIII)

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- **Rate:** 7.7% p.a., compounded annually, paid at maturity (5 years). 80-C eligible.
- **Premature closure:** only on death / forfeiture / court order. < 1 yr → principal; 1–3 yrs → POSA; after 3 yrs → NSC rate.

## 7. Kisan Vikas Patra (KVP)

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- **Rate:** 7.5% p.a. — money doubles in 115 months (accounts opened on/after 01.07.2023).
- **Lock-in:** premature closure allowed after 2 years 6 months.

## 8. Public Provident Fund (PPF)

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- **Rate:** 7.1% p.a., compounded annually; tax-free (EEE). Min Rs. 500, max Rs. 1.5 lakh per FY.
- **Loan:** 3rd–6th FY; 1% p.a. if repaid in 36 months, else 6% p.a.
- **Withdrawal:** from 7th FY, once a year, max 50% of relevant balance.
- **Irregular accounts (01.10.2024):** only ONE PPF per person; NRIs cannot extend beyond 15 years.

## 9. Sukanya Samriddhi Account (SSA)

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- **Rate:** 8.2% p.a. Girl child < 10 years; max 2 per family (twins/triplets exception).
- **Deposit:** Min Rs. 250, max Rs. 1.5 lakh per FY; deposits for 15 years; matures at 21 years.
- **Withdrawal:** 50% for education after age 18 or passing 10th. 80-C / Section 10 (EEE).

## 10. PM CARES for Children (2021)

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- **Eligibility:** children orphaned by COVID-19 (event 11.03.2020–28.02.2022).
- **Structure:** joint with District Magistrate until 18; corpus of Rs. 10 lakh from PM CARES Fund.
- **Payout:** monthly interest (MIS rate) from 18–23 years; full Rs. 10 lakh corpus at 23 years.

## 11. Mahila Samman Savings Certificate (MSSC, 2023)

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- **Status:** DISCONTINUED for fresh deposits from 01.04.2025 (SB Order 03/2025).
  - **Rate:** 7.5% p.a. compounded quarterly; tenure 2 years; max Rs. 2 lakh; 3-month gap between accounts.
  - **Withdrawal / closure:** 40% after 1 year; voluntary closure after 6 months → 5.5%. Interest taxable; not 80-C.
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